

PERSONAL CONNECTION: HOW NOT TO USE A CREDIT CARD

What's got two thumbs and maxed out a credit card when he was twenty-one years old? The author of this book. Of my many financial missteps, this one may be the dumbest. At twenty-one, I managed to max out a credit card with a \$2,000 limit, even though I had the money to pay for the things I was buying.

I always had a job in college. The best job I had was working as a server at a sushi restaurant. My friends constantly visited me while I was working, and my boss was an eighteen-year-old who treated this restaurant in the suburbs like it was a nightclub in Vegas. Life was great. Because of the tips, the job also paid well for a broke college student. It was around this time that I got into the habit of paying for everything with my credit card and only paying off the minimum every month—you know, the worst possible strategy to take with a credit card (aside from not paying the bill at all).

One day, I was on a date with this gorgeous woman at a four-star restaurant when the waiter sauntered over in his tuxedo and told me that my card had been declined. OK, this didn't happen. But my card did get declined when I was trying to buy Jack in the Box tacos for me and my roommate. At this point, I didn't have enough cash to pay off my credit card bill in one payment, and it took me over a year to pay off the \$2,000 plus interest.

The reason this is so dumb is because I had the money to pay for those purchases! There are some people who are forced to use a credit card when they know they shouldn't, because they have fallen on hard times and do not have the money in their bank account to pay for something. They make the purchases with a credit card hoping they will get paid soon and be able to pay